

CREDIT RISK PREDICTION & ANALYSIS

Executive Summary

Data Snapshot
May 10, 2026



Total Resolved Loans

1.35M



Actual Default Rate

20.0%



Average Loan Amount

\$14.4K



Average Interest Rate

13.24



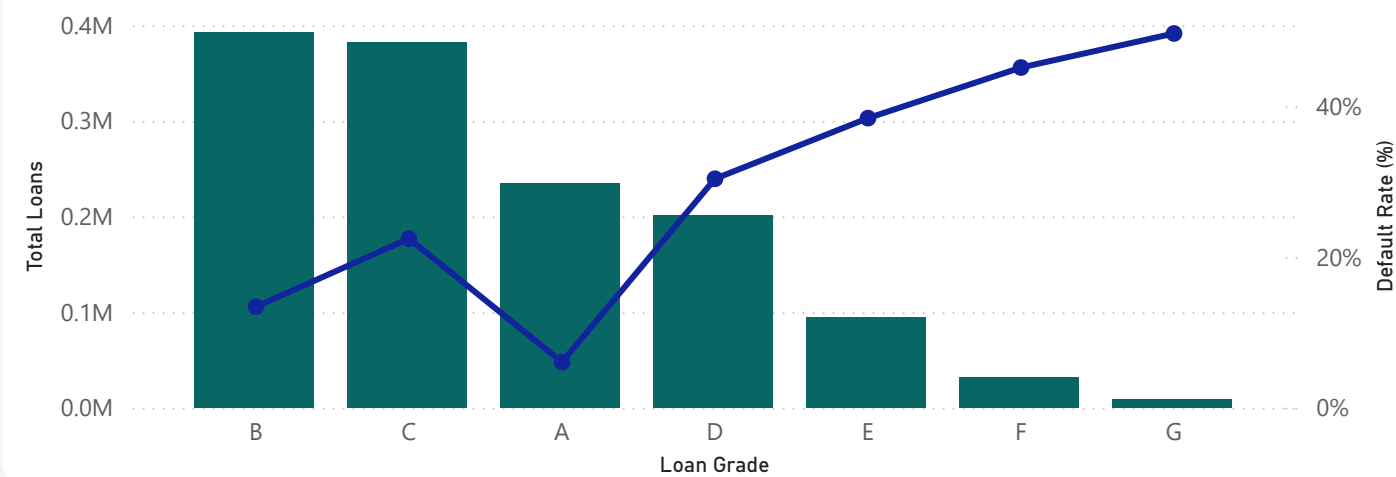
Average DTI

\$1.35M

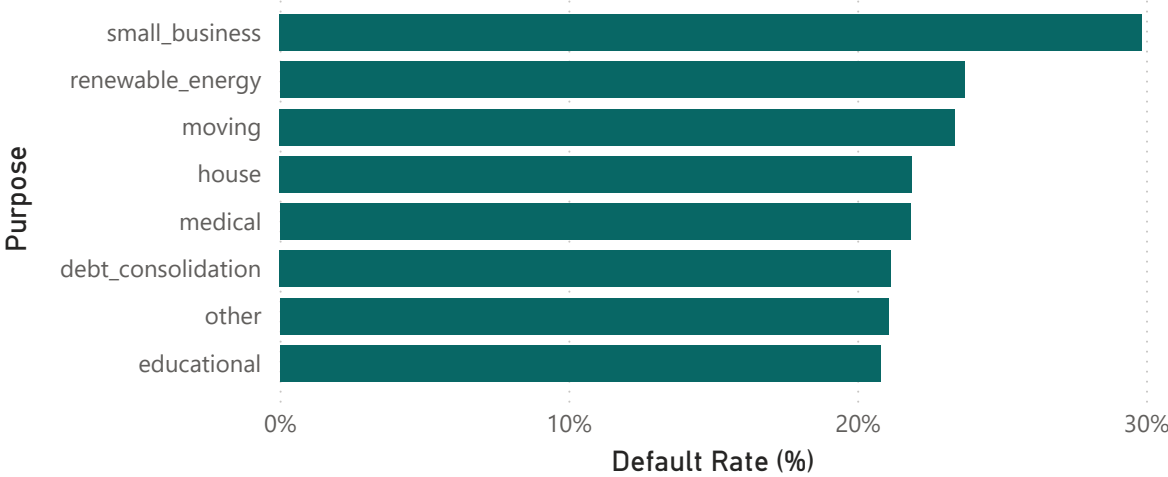


Key Insights: Grade G loans default at ~8x the rate of Grade A loans. Long-term loans and debt consolidation purposes contribute disproportionately to portfolio risk. Or Investor Model outperforms LendingClub's own risk grade by **17.0 AUC points**, enabling more accurate risk segmentation and better lending decisions.

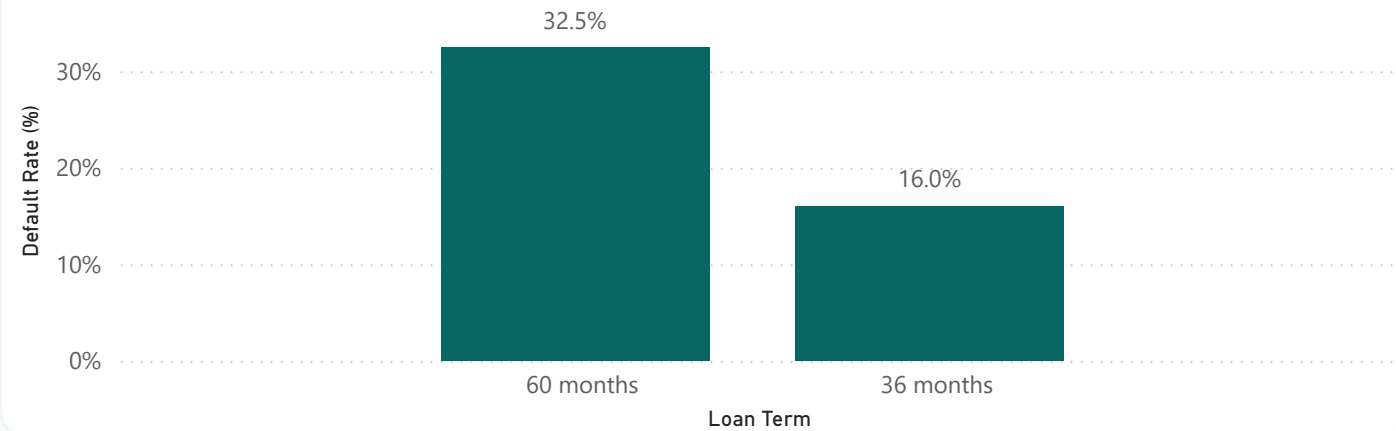
1. Loan Volume and Actual Default by Grade



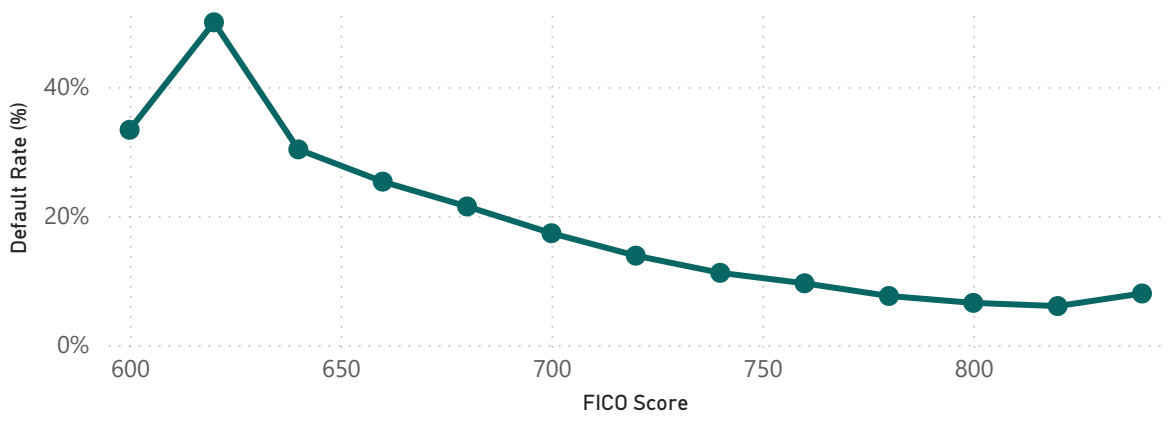
2. Default Rate by Loan Purpose (Top 8)



3. Default Rate by Term



4. Default Rate by FICO Score



Grade

All

Purpose

All

Term

All

Income Bucket

All

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Model-Driven Risk Assessment

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Investor Model AUC

0.70



Underwriting Model AUC

0.69



Sub_Grade Baseline AUC

0.68

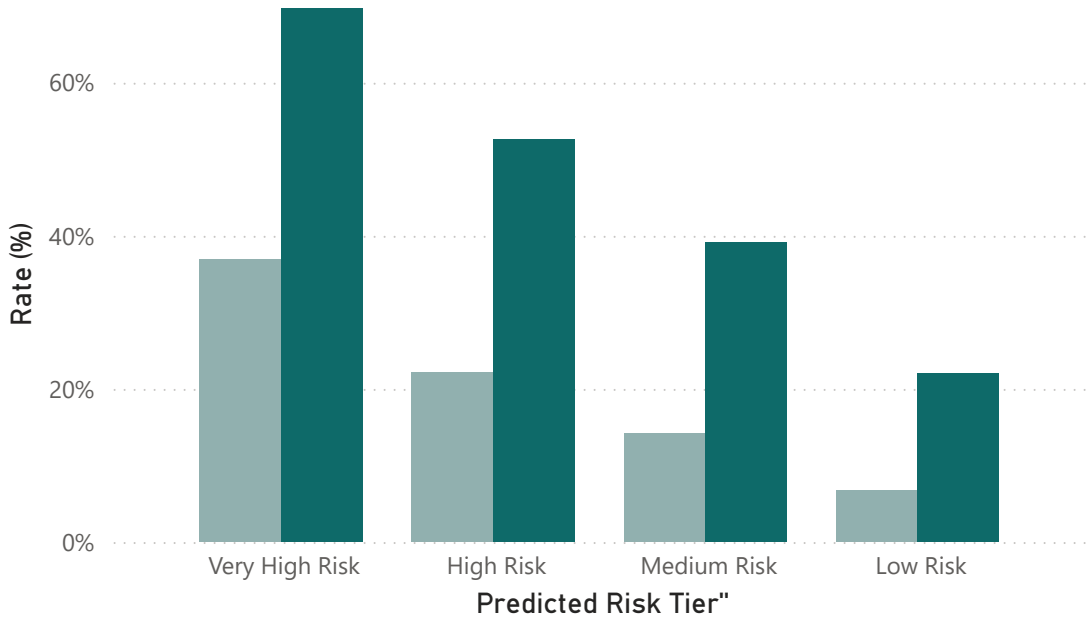


Avg Expected Loss / Loan

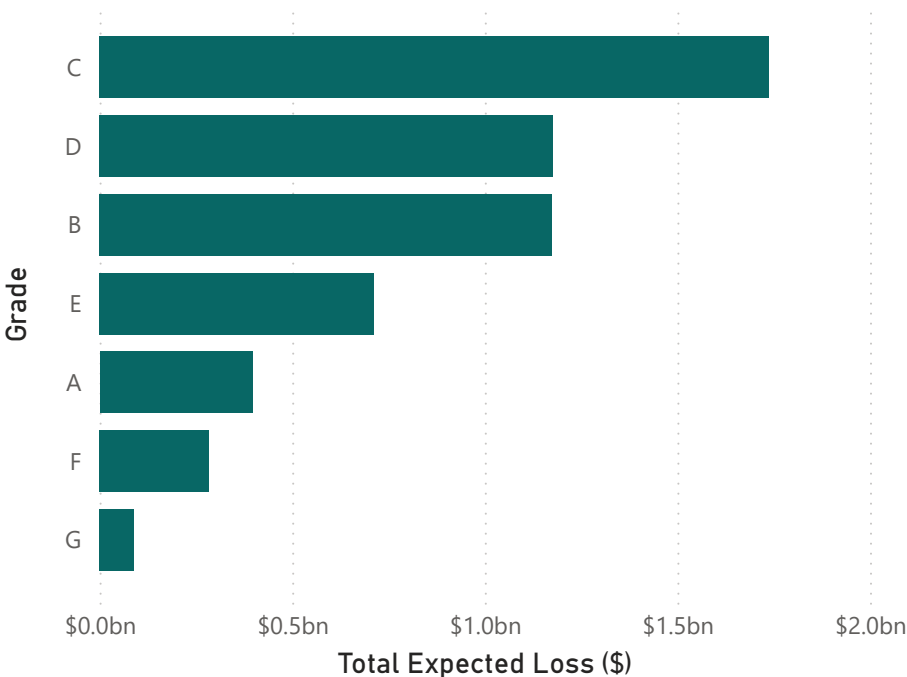
\$4.13K

1. Actual vs Predicted Default Rate by Risk Tier

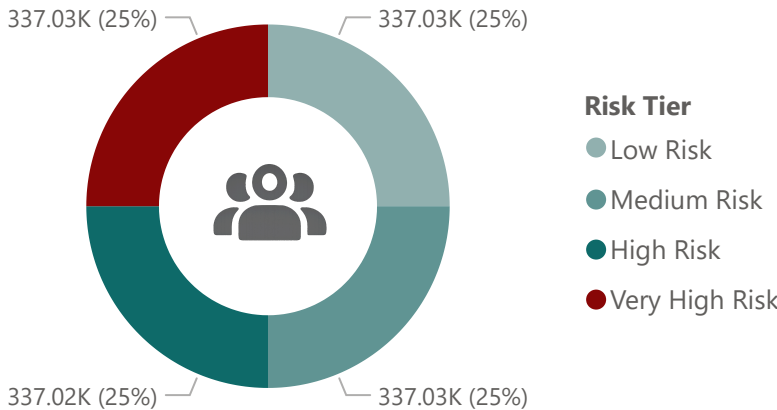
● Average of target ● Average of pd_investor



2. Total Expected Loss by Grade



3. Predicted Risk Tier Distribution



Model Insight



The investor Model outperforms LendingClub's own sub_grade baseline by a significant margin. It delivers stronger risk separation across tiers and helps identify high-risk loans more accurately, leading to better lending decision and lower expected losses.

Grade

All

Risk Tier

All